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Positive Economics History, Theory, Pros and Cons, Example

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What Is Positive Economics?

The term positive economics refers to the objective analysis in the study of economics. Most economists look at what has happened and what is currently happening in a given economy to form their basis of predictions for the future. This investigative process is positive economics. Conversely, a [normative economic](#) study bases future predictions on value judgments.

KEY TAKEAWAYS

- Positive economics is an objective stream of economics that relies on facts or what is happening.

- Positive economic theory does not provide advice or instruction.
- Statements based on normative economics include value judgments or what should be in the future.
- Positive economics and normative economics can work hand in hand when developing policy.

Understanding Positive Economics

The cornerstone of positive economic practice is to look at fact-based [behavioral finance](#) or economic relationships and the cause and effect interaction to develop economic theories. Behavioral economics follows a psychology-based premise that people will make rational financial choices based on the information they find around them.

Many will refer to this study as "what is" economics due to its use of fact-based determination of thought. [Normative economics](#), then, is called the "what should have been" or "what ought to be" study.

History of Positive Economics

The history of positive economics dates back to the 19th century. It was during this time that the idea of "what is" and "what should be" were first identified by early economists like John Neville Keynes and [John Stuart Mill](#).^[1]

Keynes believed that logic and methodology were imperative in the study of economics while Mill was an economist who blended economics with philosophy.^[2]^[3] Mill approached economics from data, such as the relationship between [supply and demand](#), rather than from an approach of value perspective.^[3]

These early economists developed theories to back up their economic observations. They used factual evidence from the economic conditions to prove these theories to be true.^[1]

of the 20th century. He held a firm belief in the [free market](#) capitalistic system, and his theories became known as monetarism. Friedman was a strong opponent of [monetary policy](#), saying that it played a big role in the Great Depression. ^[4]

Important: Although a combination of normative and positive economics helps policymakers devise solutions, positive economics is key to investment decisions because it relies on hard facts.

Testing Positive Economic Theories

Conclusions drawn from positive economics analyses can be verified and supported by data. For example, the prediction that more people will save money if interest rates rise would be based on positive economics because past behaviors support that theory.

This analysis is objective in nature, as opposed to normative statements and theories, which are subjective. Most of the information provided by the news media is a combination of positive and normative economic statements or assumptions.

Positive economic theory can help policymakers implement normative value judgments. For example, it can describe how the government can impact inflation by printing more money, and it can support that statement with facts and analysis of behavioral relationships between inflation and growth in the [money supply](#). But it doesn't say how to properly enact and follow specific policies regarding inflation and money printing.

Both positive and normative economics provide a clear understanding of public policies when studied together. These theories cover both the actual and real facts and statements combined with an opinion-based analysis. When making policy decisions, it is best to understand the positive economic background of

Advantages and Disadvantages of Positive Economics

There are distinct benefits and drawbacks that are associated with positive economics. Here we list some of the main advantages and disadvantages of this stream of economics.

Advantages

Positive economics is based on objective data rather than opinions and value judgments. There are facts we have at our disposal to back up any of our claims. For instance, we can use historical data to determine the relationship between interest rates and consumer behavior. Higher interest rates lead consumers to stop borrowing because it means they have to spend more on interest.

Since it's based solely on facts and data, there are no value judgments in positive economics. This allows policymakers to formulate the appropriate measures necessary to tackle any economic conditions to move the economy in a certain direction. For example, the Federal Reserve can lower interest rates to prevent a [recession](#).

Individual opinions and emotions can have a big impact on economic policies and procedures. For instance, people often make decisions in their personal financial lives based on emotions rather than facts. This can lead people to make some bad choices. But if they follow the data, they may be able to make wiser decisions with their personal economic decisions.

Disadvantages

Not everyone is concerned with the facts, and certain economic conditions are based on emotions. As in the example above, people often choose to overlook data when they make certain choices. Experts may suggest saving during times of economic weakness but individuals may decide they want to make a big purchase instead. In essence, it's hard to take the emotion out of economics.

positive or normative, isn't an exact science. And there are other considerations that often come into play that can change the outcome.

Similarly, positive economics may not be a one-size-fits-all approach. For instance, policymakers often use the data to come up with a policy or solution that affects everyone differently. What works for one segment of the population doesn't affect others the same way. Raising interest rates may be necessary to help slow growth and is a boon for lenders but it doesn't bode well for borrowers, especially those who are already strapped for cash.

Pros

- Is easily verifiable because it is based on objective data
- Gives policymakers more power to make decisions
- Allows individuals to make wiser choices with their economic and financial lives

Cons

- We can't always separate our emotions from the facts
- Economics isn't an exact science, so there are no fool-proof solutions or conclusions
- Policies and solutions that arise from positive economics don't affect everyone the same way

Real-World Examples of Positive Economics

Fight for 15 is a nationwide movement to push for a \$15 [minimum wage](#) on what would be considered normative economics. ^[5] The stance on a \$15 minimum wage is a value judgment. proponents argue that raising the minimum wage would be good while opponents argue that it would be harmful.

There has been a lot of research about minimum wage increases, but there are no definitive findings that offer broad, sweeping conclusions about whether

The Seattle Ordinance

In 2015, Seattle passed a local ordinance to gradually increase the minimum wage for workers in the city. The move meant that all workers would earn at least \$15 per hour by 2021 or sooner, depending on specific employment details. Since that time, there have been two major studies on the impact of the law. ^[6]

A study by researchers from the University of California-Berkeley focuses specifically on restaurant employees. According to Cal Berkeley's study, unemployment in Seattle went from 5.7% in 2012 to 3.6% in 2016. Median annual earnings for employees increased by 13.4% over those years. ^[7]

According to these researchers, employees of fast-food restaurants saw an increase in their earnings thanks to an increase in Seattle's minimum wage. This specific data is an example of positive economics, but the researchers' conclusion that the higher minimum wage was a success is not positive economics because the focus of the study was not broad or exhaustive enough to make such a finding.

Meanwhile, researchers at the University of Washington concluded that the minimum wage increase was not successful. But that conclusion is not an example of positive economics. However, some of the specific data they collected would be an example of positive economics. ^[8]

For example, they discovered that when the minimum wage increased, the hours worked by low-wage employees decreased. Thus, the total payroll for low-income employees fell by roughly \$125 per month following the minimum wage increase. ^[8] The number of low-wage workers decreased by 1%, and hours for those still employed decreased slightly as well.

While that specific data represents positive economics, the researchers' conclusion still can be questioned because other factors not addressed in the

Positive Economics FAQs

What Is Positive Economics and Examples?

Positive economics is the objective analysis of the economic study. This involves investigating what's happened versus what is happening, allowing economists to predict what will happen in the future. Positive economics is tangible, so anything that can be substantiated with a fact, such as the inflation rate, the unemployment rate, housing market statistics, and consumer spending are examples of positive economics.

What Are the Differences Between Positive and Normative Economics?

While positive economics is a branch of economics that relies on objective data, normative economics is based on subjective information. The latter is based on value judgments that stem from opinions and personal feelings rather than analysis. Positive economics deals in what is compared to normative economics, which relies on what economic behavior should be.

What Is a Positive and Normative Statement?

There are big distinctions between positive and normative statements. Positive statements are objective theories that can be tested. Normative statements, on the other hand, are subjective. They involve the use of opinions and value judgments and are often based on personal opinions.

What Are Examples of Normative Economics?

Normative economics is represented by anything that is subjective and value-based. This means we can use the information we have at our disposal to say what should be in the future. For instance, we can use data from earnings to say that corporations should pay more in taxes. And we can use the cost of living with current wages to make opinions on the minimum wage.

The branch of economic theory called welfare economics is the study of normative economics. The leading thinkers in this area early on were Abram

The Bottom Line

Economics is considered an art and a science. That's because it combines the use of fact with value judgments. But there are streams of economics that separate what is happening now from what should be in the future. Positive economics is an objective branch of study that allows conclusions to be made using verifiable facts.

Normative economics, on the other hand, deals with opinions based on those facts. Although it may seem like the best option, no society truly functions on a positive economic stance. In fact, combining both positive and normative economics may be the best approach when policymakers develop new solutions.

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Related Terms

Normative Economics: Definition, Characteristics, and Examples

Normative economics is a perspective of "what ought to be" rather than what actually is, dealing heavily in value judgments and theoretical scenarios. [more](#)

Social Science: What It Is and the 5 Major Branches

Social science is a group of academic disciplines that examine human behavior and includes anthropology, economics, psychology, and sociology. [more](#)

Quantitative Analysis (QA): What It Is and How It's Used in Finance

Quantitative analysis (QA) seeks to understand behavior by using mathematical and statistical modeling, measurement, and research. [more](#)

Welfare Economics Explained: Theory, Assumptions, and Criticism

Welfare economics focuses on finding the optimal allocation of economic resources, goods, and income to best improve the overall good of society. [more](#)

independent variables affecting a dependent variable. [more](#)

The Conference Board (CB): What It Means and How It Works

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